

LW6134E: CHINESE AND COMPARATIVE COMPANY LAW

Effective Term

Semester A 2026/27

Part I Course Overview

Course Title

Chinese and Comparative Company Law

Subject Code

LW - Law

Course Number

6134E

Academic Unit

School of Law (FL)

College/School

School of Law (FL)

Course Duration

One Semester

Credit Units

3

Level

P5, P6 - Postgraduate Degree

Medium of Instruction

English

Medium of Assessment

English

Prerequisites

Nil

Precursors

Nil

Equivalent Courses

LW5534

Exclusive Courses

LW6534E

Additional Information

Nil

Part II Course Details

Abstract

This course examines Chinese company law and securities regulation through the revised PRC Company Law, effective from 1 July 2024, and selected comparative materials. It follows ten linked units from business forms and corporate personality through formation and articles, capital contributions and finance, corporate organs, duties, shareholder remedies, veil piercing and creditor protection, listed companies and disclosure, state-owned/private/foreign-invested companies, and fundamental corporate change. Students work with statutes, regulations, judicial interpretations, cases, policy materials, scholarship, comparative company and securities law, and source-linked company documents. A student-first course companion supports preparation by moving from core law to cases, comparative context, and guided exercises. The course develops the ability to read Chinese legal authorities with citation and translation-status awareness, compare institutional choices across jurisdictions, analyse practical problems, and formulate legally grounded advice or reform proposals within China's changing legal, economic, political, and business environment.

Course Intended Learning Outcomes (CILOs)

CILOs		Weighting (if app.)	DEC-A1	DEC-A2	DEC-A3
1	The course combines primary legal materials, cases, comparative authorities, scholarly literature, company documents, and guided exercises. Students follow a source-first preparation path: read the law, identify the facts and holding of cases, compare institutional choices, and apply the materials to a practical problem. The public course companion at https://cccl.eastlaw.wang/ provides additional source-linked preparation materials while keeping source type, provenance, and translation status visible. Teaching and learning are student-centred and organised around close reading, comparative discussion, legal problem-solving, and independent research.				
2	Explain the structure and operation of the revised PRC Company Law across business forms, corporate personality, formation, capital, governance, duties, shareholder rights, creditor protection, securities regulation, and corporate change.		x	x	x
3	Analyse legal problems involving companies, shareholders, directors, controllers, creditors, investors, employees, and regulators by applying statutes, regulations, cases, and judicial interpretations.		x	x	x
4	Compare Chinese company and securities law with selected Hong Kong, UK, Singapore, United States/Delaware, German, EU, and Taiwan materials using common functional questions.		x	x	x
5	Locate, read, and cite Chinese and comparative primary authorities and explain source type, provenance, original-language text, and translation status.		x	x	x

6	Use legal research, company documents, scholarly literature, and guided exercises to produce clear, evidence-based advice, argument, or reform proposals.		x	x	x
7	Evaluate company-law issues within China's distinctive political, economic, social, and business contexts and communicate conclusions effectively in English.		x	x	x

A1: Attitude

Develop an attitude of discovery/innovation/creativity, as demonstrated by students possessing a strong sense of curiosity, asking questions actively, challenging assumptions or engaging in inquiry together with teachers.

A2: Ability

Develop the ability/skill needed to discover/innovate/create, as demonstrated by students possessing critical thinking skills to assess ideas, acquiring research skills, synthesizing knowledge across disciplines or applying academic knowledge to real-life problems.

A3: Accomplishments

Demonstrate accomplishment of discovery/innovation/creativity through producing /constructing creative works/new artefacts, effective solutions to real-life problems or new processes.

Learning and Teaching Activities (LTAs)

LTAs		Brief Description	CILO No.	Hours/week (if applicable)
1	Lectures	Students will engage in formal lectures to in weekly formal lectures to gain knowledge about company and securities law and receive training on critical legal skills.	2, 3, 4, 5, 6, 7	3 hours/week
2	Group projects	Students will collaborate in groups to tackle projects that involve either resolving a legal problem or suggesting a legislative change. This will be achieved through thorough research and vigorous group discussions. Each group will jointly write a group report.	2, 3, 4, 5, 6, 7	1hour/week
3	Presentation	Each student group will make a presentation of their collaborative research project in class to showcase their communication skills, teamwork, and comprehension of corporate law issues.	2, 3, 4, 5, 6, 7	20 minutes for each group

Assessment Tasks / Activities (ATs)

ATs	CILO No.	Weighting (%)	Remarks	Allow Use of GenAI?
1	Class Participation	2, 3, 4, 5, 6, 7	10 While generally students are not encouraged to rely on AI, they are permitted to use GenAI for assignment completion. The pedagogical objectives limit the use of AI to three specific purposes: 1. Utilizing AI instead of traditional search engines to gather sources; 2. Developing the skills to pose questions to AI that effectively prompt useful answers; 3. Garnering inspiration from the points of knowledge/ideas/ thoughts generated by AI. Students are strictly prohibited from directly incorporating sentences or expressions produced by Gen AI into their assignments. This would be viewed as plagiarism. When AI has been utilized in their work, it is crucial that students acknowledge this fact.	Yes

2	Coursework assignment/project report	2, 3, 4, 5, 6, 7	30	While generally students are not encouraged to rely on AI, they are permitted to use GenAI for assignment completion. The pedagogical objectives limit the use of AI to three specific purposes: 1. Utilizing AI instead of traditional search engines to gather sources; 2. Developing the skills to pose questions to AI that effectively prompt useful answers; 3. Garnering inspiration from the points of knowledge/ideas/ thoughts generated by AI. Students are strictly prohibited from directly incorporating sentences or expressions produced by Gen AI into their assignments. This would be viewed as plagiarism. When AI has been utilized in their work, it is crucial that students acknowledge this fact.	Yes
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Continuous Assessment (%)

40

Examination (%)

60

Examination Duration (Hours)

3

Minimum Continuous Assessment Passing Requirement (%)

40

Minimum Examination Passing Requirement (%)

40

Additional Information for ATs

Exam: The use of Generative AI tools is not allowed.

Applicable to students admitted before Semester A 2022/23 and in Semester A 2024/25 & thereafter

Students must obtain a minimum mark of 40% in both continuous assessment and examination and an overall mark of 40% in order to pass the course.

When University facilities and resources are available, students are required to take a computer-based examination in computer labs. During the examination, students are blocked from access to files, programmes and the Internet.

Applicable to students admitted from Semester A 2022/23 to Summer Term 2024

Students must obtain a minimum mark of 50% in both continuous assessment and examination and an overall mark of 50% in order to pass the course.

When University facilities and resources are available, students are required to take a computer-based examination in computer labs. During the examination, students are blocked from access to files, programmes and the Internet.

Assessment Rubrics (AR)

Assessment Task

Class Participation (for students admitted before Semester A 2022/23 and in Semester A 2024/25 & thereafter)

Criterion

Listening comprehension to demonstrate attentive participation in class and understanding of the reading materials;

Comments are pointed to the questions and demonstrate insightful and critical thinking;

Demonstration of ability to make original contribution in arguments

Excellent

(A+, A, A-) Strong evidence of original thinking; good organization, capacity to analyse and synthesize; superior grasp of subject matter; evidence of extensive knowledge base.

Good

(B+, B, B-) Evidence of grasp of subject, some evidence of critical capacity and analytic ability; reasonable understanding of issues; evidence of familiarity with literature.

Fair

(C+, C, C-) Student who is profiting from the university experience; understanding of the subject; ability to develop solutions to simple problems in the material.

Marginal

(D) Sufficient familiarity with the subject matter to enable the student to progress without repeating the course.

Failure

(F) Little evidence of familiarity with the subject matter; weakness in critical and analytic skills; limited, or irrelevant use of literature.

Assessment Task

Coursework Assignment (for students admitted before Semester A 2022/23 and in Semester A 2024/25 & thereafter)

Criterion

Demonstration of comprehension of principles, theories and concepts.

Demonstration of ability to identify legal issues.

Application of knowledge to specific problems and discussion questions.

Application of research, writing and / or communication skills.

Ability to engage in argument-based analysis.

Aptitude for formulating innovative solutions to designated fact-based questions.

Excellent

(A+, A, A-) Strong evidence of original thinking; good organization, capacity to analyse and synthesize; superior grasp of subject matter; evidence of extensive knowledge base.

Good

(B+, B, B-) Evidence of grasp of subject, some evidence of critical capacity and analytic ability; reasonable understanding of issues; evidence of familiarity with literature.

Fair

(C+, C, C-) Student who is profiting from the university experience; understanding of the subject; ability to develop solutions to simple problems in the material.

Marginal

(D) Sufficient familiarity with the subject matter to enable the student to progress without repeating the course.

Failure

(F) Little evidence of familiarity with the subject matter; weakness in critical and analytic skills; limited, or irrelevant use of literature.

Assessment Task

Examination (for students admitted before Semester A 2022/23 and in Semester A 2024/25 & thereafter)

Criterion

Demonstration of comprehension of principles, theories and concepts.

Demonstration of ability to identify legal issues.

Application of knowledge to specific problems and discussion questions.

Application of research, writing and / or communication skills.

Ability to engage in argument-based analysis.

Aptitude for formulating innovative solutions to designated fact-based questions.

Excellent

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Fair

(C+, C, C-) Student who is profiting from the university experience; understanding of the subject; ability to develop solutions to simple problems in the material.

Marginal

(D) Sufficient familiarity with the subject matter to enable the student to progress without repeating the course.

Failure

(F) Little evidence of familiarity with the subject matter; weakness in critical and analytic skills; limited, or irrelevant use of literature.

Assessment Task

Class Participation (for students admitted from Semester A 2022/23 to Summer Term 2024)

Criterion

Listening comprehension to demonstrate attentive participation in class and understanding of the reading materials;

Comments are pointed to the questions and demonstrate insightful and critical thinking;

Demonstration of ability to make original contribution in arguments

Excellent

(A+, A, A-) High

Good

(B+, B) Significant

Marginal

(B-, C+, C) Moderate

Failure

(F) Inadequate

Assessment Task

Coursework Assignment (for students admitted from Semester A 2022/23 to Summer Term 2024)

Criterion

Demonstration of comprehension of principles, theories and concepts.

Demonstration of ability to identify legal issues.

Application of knowledge to specific problems and discussion questions.

Application of research, writing and / or communication skills.

Ability to engage in argument-based analysis.

Aptitude for formulating innovative solutions to designated fact-based questions.

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(B+, B) Significant

Marginal

(B-, C+, C) Moderate

Failure

(F) Inadequate

Assessment Task

Examination (for students admitted from Semester A 2022/23 to Summer Term 2024)

Criterion

Demonstration of comprehension of principles, theories and concepts.

Demonstration of ability to identify legal issues.

Application of knowledge to specific problems and discussion questions.

Application of research, writing and / or communication skills.

Ability to engage in argument-based analysis.

Aptitude for formulating innovative solutions to designated fact-based questions.

Excellent

(A+, A, A-) High

Good

(B+, B) Significant

Marginal

(B-, C+, C) Moderate

Failure

(F) Inadequate

Part III Other Information

Keyword Syllabus

Business forms; corporate personality; legal representative; limited liability; CSR/ESG; formation and registration; articles of association; registered capital; capital contributions; no-par and class shares; authorized capital; corporate organs; audit committees; directors' duties; controlling shareholders; shareholder rights and minority protection; veil piercing; creditor protection; state-invested, private, and foreign-invested companies; securities regulation; IPOs; disclosure; investor protection; mergers and acquisitions; takeovers; dissolution; liquidation; comparative company law; private equity and asset management.

Detailed Syllabus

The course is organised around ten linked teaching units. All the topics outlined below may not be examined in any given semester. The course leader may select, combine, or sequence topics and comparative materials according to the teaching plan. The public course companion provides the preparation path for each unit: core law, cases, comparative context, and a guided exercise.

1. Business Forms, Corporate Personality, and Company Purpose
 - a. The nature and purpose of the company; legal personality, independent corporate property, and limited liability
 - b. CSR and ESG, stakeholder interests, and the revised PRC Company Law's statutory purpose
 - c. Companies compared with branches, partnerships, sole proprietorships, and individual businesses
 - d. The legal representative and comparative approaches to corporate personality and creditor protection
 - e. The historical, political, and economic foundations of PRC Company Law and its major revisions
2. Formation, Registration, and Articles
 - a. Constitutive and declaratory registration, business licences, public filing, and reliance by third parties
 - b. Formation requirements, false registration, identity misuse, and the responsibility of applicants
 - c. Articles of association as the company's constitutional document and instrument of private ordering
 - d. Mandatory company-law rules, charter autonomy, amendment, and the effect of registration on outsiders
3. Capital Contributions and Shareholder Finance
 - a. Registered capital, the five-year contribution period, non-monetary contributions, and defective contribution liability
 - b. Forfeiture, contribution acceleration, equity transfers with unpaid capital, capital reduction, and creditor protection
 - c. Capital formation, capital maintenance, and the distinction between LLC and share-company finance
 - d. No-par shares, class shares, authorized capital, bonds, convertible bonds, private funds, and asset-management structures
 - e. Valuation-adjustment mechanisms, investor protection, and the limits imposed by company-law procedure
4. Corporate Organs and Governance
 - a. Separation of ownership and control; agency, stakeholder, and stewardship perspectives
 - b. Shareholders' meetings, boards, managers, legal representatives, and the allocation of statutory authority
 - c. Supervisors, supervisory boards, audit committees, employee representation, and listed-company governance
 - d. Articles-based governance, organ conflicts, resolutions, and comparative models of corporate governance
5. Directors, Officers, Supervisors, and Controller Duties
 - a. Loyalty, diligence, company interests, business judgment, and the difference between loss and breach of duty
 - b. Conflicted transactions, corporate opportunities, competing business, fund occupation, and disclosure of company secrets
 - c. Controlling shareholders, actual controllers, de facto or shadow directors, legal representatives, and third-party liability
 - d. Direct, derivative, and double-derivative actions; remedies, accountability, and director liability insurance
6. Shareholder Rights and Minority Protection
 - a. Shareholder status, registers, nominee holding, foreign-investor status, and recognition of membership
 - b. Voting, information, inspection, proposals, meeting rights, dividends, transfers, pre-emption, and repurchase
 - c. Resolution challenges, minority oppression, related-party diversion, exit, and dissolution remedies
 - d. Direct and derivative litigation, double-derivative actions, public-company overlays, and comparative remedies
7. Veil Piercing, Groups, and Creditors
 - a. Vertical and horizontal veil piercing, one-shareholder companies, and the exceptional nature of personality denial
 - b. Commingled assets, shared personnel and operations, undercapitalisation, excessive control, and debt evasion
 - c. Evidence, creditor reliance, affiliated-company liability, liquidation-obligor liability, and bankruptcy consolidation
 - d. Creditor revocation, related-party transaction liability, contribution remedies, and comparative group-company law
8. Listed Companies, Securities, and Disclosure

- a. The division of labour between Company Law and Securities Law in share issuance, trading, and investor protection
 - b. IPOs, registration-based offerings, listing, refinancing, authorized issuance, class shares, and transfer restrictions
 - c. Continuous disclosure, market abuse, sustainability reporting, overseas listings, and intermediary responsibility
 - d. Administrative enforcement, investor compensation, representative litigation, and comparative public-company regimes
9. State-Owned, Private, and Foreign-Invested Companies
- a. State-invested companies, the state as shareholder and regulator, Party leadership, and corporate-organ design
 - b. State-owned asset supervision, transactions, accountability, compliance, and mixed-ownership governance
 - c. Private-economy protection, equal treatment, fair competition, financing, property rights, and regulatory responsibility
 - d. Foreign-investment access, national treatment, negative lists, reporting, security review, and overseas-listing controls
10. Fundamental Corporate Changes: Mergers and Acquisitions, Takeovers, Dissolution, and Liquidation
- a. Mergers, divisions, capital changes, changes of corporate form, and the distinction between ordinary and fundamental decisions
 - b. Share deals, asset deals, business transfers, private equity transactions, VAMs, and deal consideration
 - c. Listed-company takeovers, control changes, disclosure, shareholder approval, creditor protection, and regulatory review
 - d. Dissolution, liquidation, deregistration, bankruptcy, deadlock, and comparative exit and restructuring regimes

Reading List

Compulsory Readings

Title	
1	The compulsory text will be the draft chapters of Jiangyu Wang, <i>Company Law in China: Regulation of Business Organizations in a Socialist Market Economy</i> (2nd ed., Edward Elgar, forthcoming 2027). The second edition is based on the first edition published in 2014 and is updated to reflect subsequent developments in Chinese company law. It will be supplemented by current legislation, cases, regulatory materials, and scholarly writings.
2	Supplementary materials for the whole course are available at the LW6134 Course Companion, a comprehensive website on Chinese and comparative company law built by the Course Leader exclusively for teaching this course. It includes legislation, regulations, cases, comparative materials, scholarly literature, company documents, and guided exercises.

Additional Readings

Title	
1	Andreas Cahn and David Donald, <i>Comparative Company Law: Text and Cases on the Laws Governing Corporations in Germany, the UK and the USA</i> (2nd edition) (Cambridge University Press 2018)
2	Reiner Kraakman, et al, <i>The Anatomy of Corporate Law: A Comparative and Functional Approach</i> , 3rd ed. (Oxford University Press, 2017)
3	Legislation lists
4	PRC Company Law (2023 Revision)
5	PRC Securities Law
6	Hong Kong Companies Ordinance (Cap. 622)
7	UK Companies Act 2006
8	Delaware General Corporation Law; Model Business Corporation Act; Singapore Companies Act 1967; German Stock Corporation Act; selected EU and Taiwan company-law materials